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42. Disclosures on financial instruments (Contd.)

A 10% appreciation/depreciation of foreign currencies with respect to the functional currency of the entities within the Group would result in a decrease/increase in the Group's net profit and equity before considering tax impacts by approximately **₹289.90** crore for the year ended March 31, 2026, (2024-25: ₹158.55 crore).

The foreign exchange rate sensitivity is calculated by assuming a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the functional currency of the entities within the Group.

The sensitivity analysis has been based on the composition of the Group's financial assets and liabilities as at March 31, 2026 and March 31, 2025 excluding trade payables, trade receivables, other derivative and non-derivative financial instruments not forming part of debt and which do not present a material exposure. The period end balances are not necessarily representative of the average debt outstanding during the period.

(b) Market risk - Interest rate risk:

Interest rate risk is measured by using the cash flow sensitivity for changes in variable interest rates. Any movement in the reference rates could have an impact on the Group's cash flows as well as costs.

The Group is subject to variable interest rates on some of its interest-bearing liabilities. The Group's interest rate exposure is mainly related to debt obligations.

Based on the composition of debt as at March 31, 2026 and March 31, 2025 a 100 basis points increase in interest rates would increase the Group's finance costs (before considering interest eligible for capitalisation) and thereby consequently reduce net profit and equity before considering tax impacts by approximately **₹389.14** crore for the year ended March 31, 2026 (2024-25: ₹536.91 crore)

The risk estimates provided assume a parallel shift of 100 basis points interest rate across all yield curves. This calculation also assumes that the change occurs at the balance sheet date and has been calculated based on risk exposures outstanding as at that date. The period end balances are not necessarily representative of the average debt outstanding during the period.

(c) Market risk - Equity price risk:

Equity price risk is related to the change in market reference price of investments in equity securities held by the Group.

The fair value of quoted investments held by the Group exposes the Group to equity price risks. In general, these investments are not held for trading purposes.

The fair value of quoted investments in equity classified as fair value through other comprehensive income as at at March 31, 2026 and March 31, 2025 was **₹1,898.63** crore and ₹1,908.89 crore respectively.

A 10% change in equity prices of such securities held as March 31, 2026 and March 31, 2025 would result in an impact of **₹189.86** crore and ₹190.89 crore respectively on equity before considering tax impact.

(ii) Commodity risk

The Group makes use of commodity futures contracts and options to manage its purchase price risk for certain commodities. Across the Group, forward purchases are also made of zinc, tin and nickel to cover sales contracts with fixed metal prices.

There was no significant market risk relating to the consolidated statement of profit and loss since the majority of commodity derivatives are treated as cash flow hedges with movements being reflected in equity and the timing and recognition in the consolidated statement of profit and loss would depend on the point at which the underlying hedged transactions are recognised.

(iii) Credit risk

Credit risk is the risk of financial loss arising from counter-party failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses both the direct risk of default and the risk of deterioration of credit worthiness as well as concentration risks.

Entities within the Group have a policy of dealing only with credit worthy counter parties and obtaining sufficient collateral, where appropriate as a means of mitigating the risk of financial loss from defaults.

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42. Disclosures on financial instruments (Contd.)

Financial instruments that are subject to credit risk and concentration thereof principally consist of trade receivables, loans receivables, investments in debt securities and mutual funds, balances with banks, bank deposits, derivatives and financial guarantees provided by the Group. None of the financial instruments of the Group result in material concentration of credit risk.

The carrying value of financial assets represents the maximum credit risk. The maximum exposure to credit risk was **₹19,187.75** crore and ₹19,080.77 crore as at March 31, 2026 and March 31, 2025 respectively, being the total carrying value of trade receivables, balances with bank, bank deposits, investments in debt securities and mutual funds, loans, derivative assets and other financial assets.

The risk relating to trade receivables is presented in Note 15, page F191.

The Group's exposure to customers is diversified and there is no concentration of credit risk with respect to any particular customer as at March 31, 2026 and March 31, 2025.

In respect of financial guarantees provided by the Group to banks and financial institutions, the maximum exposure which the Group is exposed to is the maximum amount which the Group would have to pay if the guarantee is called upon. Based on the expectation at the end of the reporting period, the Group considers that it is more likely than not that such an amount will not be payable under the guarantees provided.

(iv) Liquidity risk

Liquidity risk refers to the risk that the Group cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements.

The Group has obtained fund and non-fund based working capital lines from various banks. Furthermore, the entities within the Group have access to undrawn lines of committed and uncommitted borrowing/facilities, funds from debt markets through commercial paper programs, non-convertible debentures and other debt instruments. The Group invests its surplus funds in bank fixed deposits and mutual funds, which carry no or low mark to market risk. The Group also constantly monitors funding options available in the debt and capital markets with a view of maintaining financial flexibility.

The Group's liquidity position remains strong at **₹45,237.33** crore as on March 31, 2026, comprising **₹11,573.15** crore of current investments, cash and cash equivalents and other balances with bank (including non-current and current earmarked balances) and **₹33,664.18** crore, in committed undrawn bank lines.

The following table shows a maturity analysis of the anticipated cash flows including future interest obligations for the Group's derivative and non-derivative financial liabilities on an undiscounted basis, which therefore differ from both carrying value and fair value. Floating rate interest is estimated using the prevailing interest rate at the end of the reporting period. Cash flows in foreign currencies are translated using the period end spot rates.

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42. Disclosures on financial instruments (Contd.)

(₹ crore)

	As at March 31, 2026				
	Carrying value	Contractual cash flows	Less than one year	Between one to five years	More than five years
Non derivative financial liabilities:					
Borrowing other than lease obligation including interest obligations	85,616.21	104,522.16	25,106.55	50,699.27	28,716.34
Lease obligations including interest obligations	7,481.37	11,027.59	1,936.47	4,538.50	4,552.62
Trade payables	34,810.14	34,810.14	34,810.14	-	-
Other financial liabilities	18,056.55	18,341.10	16,789.78	1,021.66	529.66
	1,45,964.27	**1,68,700.99**	**78,642.94**	**56,259.43**	**33,798.62**
Derivative financial liabilities	**260.71**	**260.71**	**260.71**	**-**	**-**

(₹ crore)

	As at March 31, 2025				
	Carrying value	Contractual cash flows	Less than one year	Between one to five years	More than five years
Non-derivative financial liabilities:					
Borrowing other than lease obligations including interest obligations	89,720.03	115,091.95	26,068.36	55,632.00	33,391.59
Lease obligations including interest obligations	5,877.83	8,885.09	1,626.21	3,849.03	3,409.85
Trade payables	29,314.38	29,314.38	29,314.38	-	-
Other financial liabilities	16,317.87	16,509.93	14,932.92	1,142.55	434.46
	1,41,230.11	**1,69,801.35**	**71,941.87**	**60,623.58**	**37,235.90**
Derivative financial liabilities	**597.56**	**597.56**	**391.15**	**206.41**	**-**

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43. Segment reporting

The Group is primarily engaged in the business of manufacture and distribution of steel products across the globe. Operating segments have been identified based on how the Chief Operating Decision Maker (CODM) reviews and assesses the Group's performance, which is on the basis of the different geographical areas wherein major entities within the Group operate. Entities within the Group that are not significant are reported based on geographical area.

The Group's reportable segments and segment information is presented below:

(₹ crore)

	Tata Steel India	Neelachal Ispat Nigam Limited	Other Indian Operations	Tata Steel Netherlands operations	Tata Steel UK operations	Other trade related operations	South-East Asian Operations	Rest of the world	Inter segment eliminations	Total
Segment revenue										
External revenue	**1,30,676.61**	**357.68**	**10,200.00**	**58,346.42**	**22,383.41**	**245.86**	**8,134.77**	**1,795.19**	**-**	**2,32,139.94**
	1,24,305.88	*383.18*	*7,987.14*	*53,119.23*	*23,256.04*	*1,279.33*	*6,789.38*	*1,422.34*	*-*	*2,18,542.51*
Inter segment revenue	**9,043.61**	**4,923.91**	**2,743.95**	**3,008.42**	**949.26**	**39,316.10**	**470.69**	**-**	**(60,455.94)**	**-**
	8,210.78	*5,317.89*	*2,278.68*	*3,769.91*	*1,734.09*	*44,332.13*	*683.07*	*-*	*(66,326.56)*	*-*
Total Revenue	**1,39,720.22**	**5,281.59**	**12,943.95**	**61,354.84**	**23,332.67**	**39,561.96**	**8,605.46**	**1,795.19**	**(60,455.94)**	**2,32,139.94**
	1,32,516.66	*5,701.07*	*10,265.82*	*56,889.14*	*24,990.13*	*45,611.46*	*7,472.45*	*1,422.34*	*(66,326.56)*	*2,18,542.51*
Segment results before exceptional items, interest, tax and depreciation:	**33,035.63**	**1,236.29**	**707.25**	**2,721.52**	**(2,568.99)**	**610.79**	**774.55**	**(837.37)**	**(831.94)**	**34,847.73**
	28,217.36	*1,067.17*	*548.20*	*825.38*	*(4,134.20)*	*123.90*	*131.61*	*(699.91)*	*(277.71)*	*25,801.80*
Reconciliation to profit/(loss) for the year:										
Add: Finance income										**906.49**
										1,037.18
Less: Finance costs										**7,167.06**
										7,340.95
Less: Depreciation and amortisation										**11,954.51**
										10,421.33
Add: Share of profit/(loss) of joint ventures and associates										**368.50**
										190.81
Profit/(loss) before exceptional items and tax										**17,001.15**
										9,267.51
Add: Exceptional items (refer note: 34, Page F129										**(1,032.46)**
										(854.64)
Profit/(loss) before tax										**15,968.69**
										8,412.87
Less: Tax expense										**5,082.87**
										5,239.09
Profit/(loss) for the year										**10,885.82**
										3,173.78

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43. Segment reporting (Contd.)

(₹ crore)

	Tata Steel India	Neelachal Ispat Nigam Limited	Other Indian Operations	Tata Steel Netherlands operations	Tata Steel UK operations	Other trade related operations	South-East Asian Operations	Rest of the world	Inter segment eliminations	Total
Segment assets	**1,88,360.54**	**14,238.93**	**12,724.17**	**64,871.45**	**17,667.48**	**15,266.43**	**5,380.14**	**7,048.49**	**(24,558.58)**	**3,00,999.05**
	1,90,811.98	*13,388.36*	*7,960.64*	*55,872.48*	*13,421.44*	*12,442.80*	*4,224.12*	*6,702.60*	*(25,429.62)*	*2,79,394.80*
Assets held for sale										**255.06**
										-
Total assets										**301,254.11**
										279,394.80
Segment assets include:										
Equity accounted investments	**1,073.43**	**-**	**1,333.85**	**517.48**	**-**	**18.71**	**-**	**-**	**-**	**2,943.47**
	1,030.71	*-*	*1,483.30*	*441.32*	*-*	*15.53*	*-*	*-*	*-*	*2,970.86*
Segment liabilities	**1,40,199.83**	**9,034.38**	**5,711.37**	**27,451.56**	**13,499.41**	**18,908.06**	**1,109.21**	**13,225.55**	**(31,665.71)**	**1,97,473.66**
	1,30,386.51	*8,251.78*	*2,202.44*	*25,039.47*	*18,285.09*	*21,313.08*	*916.46*	*11,546.62*	*(29,899.43)*	*1,88,042.02*
Total liabilities										**197,473.66**
										188,042.02
Addition to non-current assets	**9,212.67**	**361.24**	**368.88**	**2,984.04**	**2,722.18**	**0.01**	**72.70**	**481.17**		**16,202.89**
	14,224.98	*233.37*	*328.68*	*3,673.08*	*894.15*	*0.69*	*68.50*	*128.97*		*19,552.43*

Figures in italics represent comparative figures of previous year.

(i) Details of revenue by nature of business is as below:

(₹ crore)

		Year ended March 31, 2026	Year ended March 31, 2025
(a)	Steel	2,21,607.39	2,04,449.48
(b)	Others	10,532.55	14,043.03
		2,32,139.94	**2,18,542.51**

Revenue from other businesses primarily relate to ferro alloys, power and water and other services.

(ii) Details of revenue based on geographical location of customers is as below:

(₹ crore)

		Year ended March 31, 2026	Year ended March 31, 2025
(a)	India	1,30,808.88	1,26,360.05
(b)	Outside India	1,01,331.06	92,182.46
		2,32,139.94	**2,18,542.51**

Revenue outside India includes: Asia excluding India **₹8,508.48** crore (2024-25: ₹11,646.42 crore), UK **₹15,313.57** crore (2024-25: ₹15,469.55 crore) and other European countries **₹53,720.85** crore (2024-25: ₹51,127.53 crore).

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43. Segment reporting (Contd.)

(iii) Details of non-current assets (property, plant and equipment, capital work-in-progress, right-of-use assets, goodwill, other intangible assets and intangible assets under development) based on geographical area is as below:

(₹ crore)

		As at March 31, 2026	As at March 31, 2025
(a)	India	1,53,838.82	1,48,499.31
(b)	Outside India	54,566.02	44,037.10
		2,08,404.84	**1,92,536.41**

Non-current assets outside India include: Thailand **₹1,140.64** crore (March 31, 2025: ₹1,021.86 crore), Canada **₹6,122.84** crore (March 31, 2025: ₹5,613.73 crore), UK **₹6,400.67** crore (March 31, 2025: ₹8,401.76 crore) and Netherlands **₹33,066.12** crore (March 31, 2025: ₹27,045.79 crore).

Notes:

(i) Segment performance is reviewed by the CODM on the basis of profit or loss from continuing operations before finance income/cost, depreciation and amortisation expenses, share of profit/(loss) of joint ventures and associates and tax expenses. Segment results reviewed by the CODM also exclude income or expenses which are non-recurring in nature and are classified as an exceptional item. Information about segment assets and liabilities provided to the CODM, however, include the related assets and liabilities arising on account of items excluded in measurement of segment results. Such amounts, therefore, form part of the reported segment assets and liabilities.

(ii) No single customer represents 10% or more of the Group's total revenue during the year ended March 31, 2026 and March 31, 2025.

(iii) The accounting policies of the reportable segments are the same as of the Group's accounting policies.

(iv) All intersegment transactions are conducted on an arm's length basis.

(v) The financial performance of the Group's European operations is segregated into Tata Steel UK Operations and Tata Steel Netherlands Operations, which are now presented as separate segments, to provide more relevant and useful financial information to the users of financial statement. Previous years have accordingly been restated.

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44. Related party transactions

The Group's related parties primarily consist of its joint ventures and associates, Tata Sons Private Limited including its subsidiaries and joint ventures. The Group routinely enters into transactions with these related parties in the ordinary course of business at market rates and terms. Transactions and balances between the Company, its subsidiaries and fellow subsidiaries are eliminated on consolidation.

The following table summarises the related-party transactions and balances included in the consolidated financial statements for the year ended/as at March 31, 2026 and March 31, 2025.

(₹ crore)

	Associates	Joint Ventures	Tata Sons Private Limited, its subsidiaries and joint ventures	Total
Purchase of Goods	**40.72**	**568.38**	**6,425.12**	**7,034.22**
	70.30	*2,246.12*	*4,488.09*	*6,804.51*
Sale of Goods#	**1,140.15**	**6,162.06**	**4,741.60**	**12,043.81**
	1,039.77	*6,704.78*	*3,433.22*	*11,177.77*
Services Received	**85.15**	**2,626.42**	**960.31**	**3,671.88**
	57.89	*1,588.57*	*1,719.74*	*3,366.20*
Services Rendered	**16.86**	**97.51**	**13.29**	**127.66**
	12.20	*72.67*	*22.40*	*107.27*
Securitisation of receivables	**-**	**-**	**8,490.66**	**8,490.66**
	-	-	*6,397.11*	*6,397.11*
Purchase of fixed asset	**-**	**13.58**	**11.71**	**25.29**
	-	-	-	-
Sale of fixed assets	**-**	**-**	**-**	**-**
	-	*22.47*	-	*22.47*
Interest income recognised	**-**	**71.55**	**1.66**	**73.21**
	-	*95.80*	*3.16*	*98.96*
Interest expense recognised	**-**	**143.87**	**36.93**	**180.80**
	-	*152.51*	*31.49*	*184.00*
Dividend paid(vi)	**-**	**-**	**1,308.93**	**1,308.93**
	-	*65.00*	*1,308.93*	*1,373.93*
Dividend received(vi)	**-**	**300.90**	**81.87**	**382.77**
	33.02	*134.21*	*43.97*	*211.20*
Management Contracts*	**-**	**0.39**	**385.87**	**386.26**
	5.16	*21.49*	*439.11*	*465.76*
Outstanding loans & receivables	**181.21**	**1,337.75**	**124.86**	**1,643.82**
	134.77	*2,434.32*	*521.84*	*3,090.93*
Provision for outstanding loans & receivables	**0.03**	**1,138.31**	**-**	**1,138.34**
	-	*1,026.45*	-	*1,026.45*
Outstanding payables	**34.85**	**1,642.18**	**2,073.15**	**3,750.18**
	44.02	*1,914.33*	*2,104.67*	*4,063.02*
Outstanding guarantees given$	**-**	**82.59**	**-**	**82.59**
	24.17	*82.59*	-	*106.76*
Investment made	**26.05**	**-**	**-**	**26.05**
	252.73	-	-	*252.73*

Figures in italics represent comparative figures of previous year.

Includes sale of power and water

* Primarily includes recharges on account of deputation of employees and brand equity due to Tata Sons Private Limited.

$ includes guarantees renewed during the year

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44. Related party transactions (Contd.)

(i) The details of remuneration paid to the key managerial personnel (Chief Executive Officer & Managing Director, Executive Director & Chief Financial Officer) and payments to non-executive directors are provided in note 30, page F217 and note 33, page F218 respectively.

The Group paid dividend of **₹1,10,094.00** (2024-25: ₹1,10,094.00) to key managerial personnel and **₹21,351.00** (2024-25: ₹21,351.00) to relatives of key managerial personnel during the year ended March 31, 2026.

(ii) During the year ended March 31, 2026, the Group has contributed **₹497.73** crore (2024-25: ₹710.81 crore) to post employment benefit plans.

As on March 31, 2026, amount receivable (net) from post-employment benefit funds is **₹72.52** crore (March 31, 2025: ₹144.90 crore) on account of retirement benefit obligations paid by the Group directly.

(iii) Details of investments made by the Company in its joint ventures and associates is disclosed in note 8, page F179.

(iv) Commitments with respect to joint venture and associates are disclosed in note 37B, page F237.

(v) Transactions with joint ventures and associates have been disclosed at full value and not at their proportionate share.

(vi) Dividend paid includes **₹1,284.69** crore (2024-25: ₹1,284.69 crore) paid to Tata Sons Private Limited. Dividend received includes **₹80.31** crore (2024-25: ₹43.31 crore) received from Tata Sons Private Limited.

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45. Disclosure for struck off companies
The following table depicts the details of balances outstanding in respect of transactions undertaken with a company struck-off under section 248 of the Companies Act, 2013:

(₹ crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance as at March 31, 2026	Balance as at March 31, 2025	Relationship with the struck-off Company
Tata Steel Limited:				
BBR (India) Private Limited	Sale of products and rendering of services	0.26	-	Advance from customer
Metecno India Projects Private Limited		-	0.18	
Highway Roadlines Pvt. Ltd.		0.00	-	
Jindal (India) Limited		0.12	-	
Polycab Wires and Cables Private Limited		0.00	0.00	
Bajrang Steel & Alloys Private Limited		-	0.01	
Apex Auto Private Limited		0.02	-	
Andhra Cylinders Pvt Ltd		0.13	0.04	
Creative Constructions & Contractors Private Limited		0.00	0.00	
Kochar Agro Pvt. Ltd.		-	0.25	
S.G. & Co Pvt Ltd		0.60	-	
Bright Steel Castings Pvt. Ltd.		1.25	0.56	
Victora Auto Private Limited		1.32	0.34	
Agni Fuels Private Limited		-	0.01	
Antarctic Industries Ltd.		0.00	0.00	
Alok Enterprises Private Limited		0.01	0.01	
Sagar Business Pvt. Ltd.		0.21	3.83	
B.G. Shirke Construction Technology Private Limited		0.17	0.17	
Schwing Stetter (India) Pvt. Ltd.		0.04	0.04	
Adarsh Metal Industries Private Limited		0.20	-	
Bansal Industries Private Limited		-	2.73	Customer
Pinacle Airpoint Services Pvt. Ltd.		0.00	0.00	
Elegant Mkt Private Limited*		0.18	0.17	
Harinagar Sugar Mills Limited		0.00	0.00	
Jindal (India) Limited		3.61	-	
Fairdeal Tins Private Limited		0.00	-	
BB Man-Power And Facilities Services Private Limited		0.00	0.00	
Sagar Business Private Limited		0.26	-	
Menkar Energy Solutions Private Limited		1.76	1.76	
Calcutta Carriers Pvt Ltd	Purchase of goods and receiving of services	4.83	10.41	Vendor
Sagar Business Private Limited		1.30	0.01	
Highway Roadlines Pvt. Ltd.		0.34	-	
Advance Valves Private Limited		0.03	-	
Rajdeep Automation Private Limited		0.00	-	
Parikh Inn Private Limited		0.00	-	
K A Industries Pvt. Ltd.		0.11	1.49	
Hostin Services Private Limited		0.10	-	
Jaju Chemicals Private Limited		0.00	-	
Krofta Engineering Limited		0.18	-	
Karunamoyee Trexim Private Limited		0.00	-	
Leo Elevators Private Limited		0.08	-	
M T Industries Pvt. Ltd.		0.29	0.37	
Bearing Sales Corpn Private Limited		0.10	0.02	

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45. Disclosure for struck off companies (Contd.)

(₹ crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance as at March 31, 2026	Balance as at March 31, 2025	Relationship with the struck-off Company
Millenium Impex Private Limited	Purchase of goods and receiving of services	0.00	0.28	Vendor
Dgt Engineers Pvt. Ltd.		0.02	0.01	
Metecno India Projects Private Limited		0.00	0.25	
Sodexo Foods Solutions Limited		0.72	0.72	
Nita Industries Private Limited		0.00	-	
Organic Intermediates Pvt Ltd		0.01	-	
Pyrotech Electronics Private Limited		0.29	-	
Sew-Eurodrive India Private Limited		0.89	-	
BB Man-Power And Facilities Services Private Limited		0.01	1.63	
Sinha Aviation Service Private Limited		0.14	0.14	
Apex Auto Private Limited		0.00	-	Advance from Suppliers
Avanza Epsilon Elektro Private Limited		0.00	-	
Creative Constructions & Contractors Private Limited		0.00	-	
Daewoo India Private Limited		0.00	-	
E.Itec India Power Connection Private Limited		0.00	-	
Millenium Impex Private Limited		0.00	-	
Savita Machine Tools Private Limited		0.01	-	
Nita Industries Private Limited		0.00	-	
Rohini Impex Pvt. Ltd.		0.00	-	
Other Entities[i]	Subscription to equity shares	-	-	Equity shareholder

0.00 represents value less than ₹0.01 crore.

* Refers to companies that were struck off as at March 31, 2025, but have become active during the year ended March 31, 2026.

(₹ crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance as at March 31, 2026	Balance as at March 31, 2025	Relationship with the struck-off Company
Neelachal Ispat Nigam Limited:				
Vallab Engineers Private Limited	Purchase of goods	-	0.03	Vendor
Jayaswals Neco Limited		-	0.01	
Sap Communication Private Limited		-	0.00	
Pranam Powermech Private Limited		-	0.00	
Geomin Consultants Private Limited		-	0.00	
A-One Mercantile Private Limited		-	0.00	
Ashcroft India Private Limited		-	0.00	
Suzusons Care Private Limited		-	0.00	
Keonjhar Minerals Private Limited		-	0.00	
Webel Electronics Communications		-	0.06	

0.00 represents value less than ₹0.01 crore.